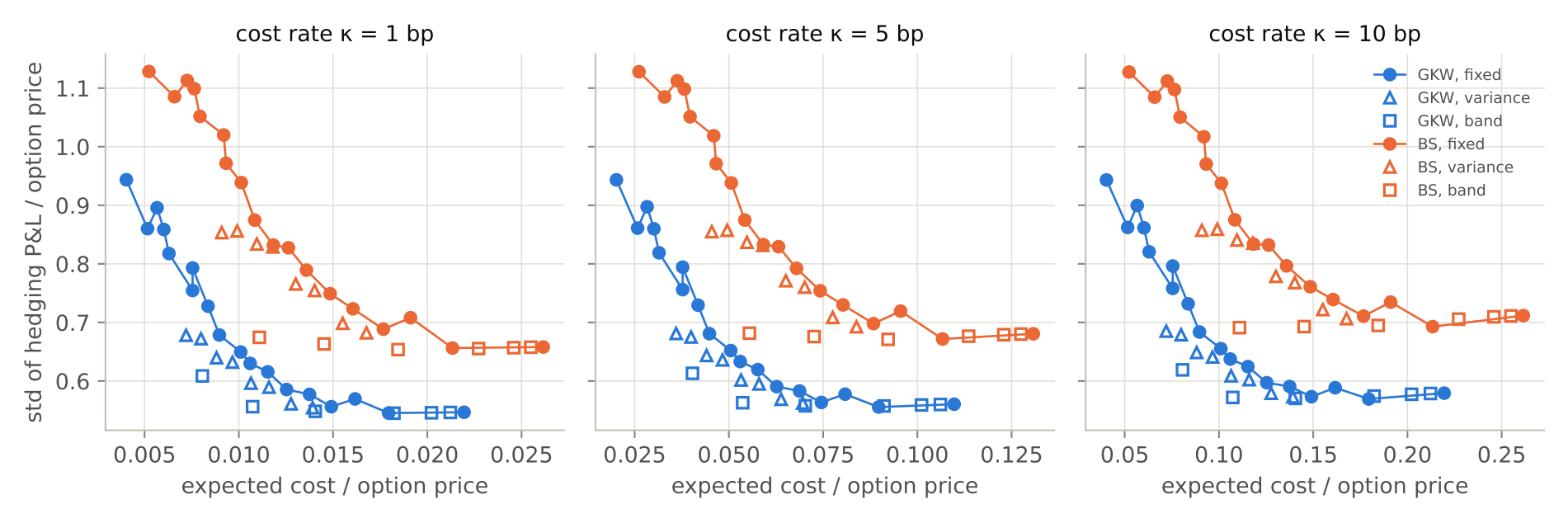
cost rate κ = 1 bp
cost rate κ = 5 bp
cost rate κ = 10 bp
std of hedging P&L / option price
1.1
1.0
0.9
0.8
0.7
0.6
0.005
0.010
0.015
0.020
0.025
0.025
0.050
0.075
0.100
0.125
0.05
0.10
0.15
0.20
0.25
expected cost / option price
GKW, fixed
GKW, variance
GKW, band
BS, fixed
BS, variance
BS, band